BEFORE THE BUSINESS CONDUCT COMMITTEE
OF THE
CHICAGO BOARD OPTIONS EXCHANGE, INCORPORATED

In the Matter of:	
Scout Trading, LLC 12 E. 49th Street, 12th Floor New York, NY 10017	Consolidated File Nos. 12-0099 and 12-0126
Respondent	

DECISION ACCEPTING CONSOLIDATED OFFER OF SETTLEMENT

This proceeding was instituted by the Business Conduct Committee (the "Committee") of the Chicago Board Options Exchange, Incorporated (the "Exchange") as a result of an investigation by the staff of the Exchange, which indicated that there was probable cause for finding a violation within the disciplinary jurisdiction of the Exchange. In accordance with that determination, the Committee directed the issuance of a Statement of Charges ("Statement of Charges"). Pursuant to Exchange Rule 17.8, the respondent ("Respondent"), Scout Trading, LLC ("Scout Trading"), submitted a consolidated offer of settlement ("Offer of Settlement").

In submitting the Offer of Settlement, the Respondent neither admitted nor denied the violations alleged in the Statement of Charges for File Nos. 12-0099 and 12-0126.

The Respondent has agreed that the determination of the Committee to accept the Consolidated Offer of Settlement shall constitute a final Decision, and, as provided in Exchange Rule 17.8, the Respondent may not seek review thereof.

The Respondent understands and acknowledges that the Committee's decision in this matter will become part of its disciplinary record and may be considered in any future Exchange proceeding.

With due regard to the particulars of this matter, the Committee believes it is appropriate to accept the Respondent's Consolidated Offer of Settlement based on the following stipulated facts and findings and thereby to impose the sanction specified below.

FACTS

1. During all relevant periods, Scout Trading was a CBOE Stock Exchange, LLC ("CBSX") Trading Permit Holder registered to transact business on CBSX in accordance with Exchange Rules.

2. During all relevant periods, Scout Trading was acting as a registered broker-dealer.

3. During all relevant periods herein, Exchange Rules 3.6A – Qualification and Registration of Trading Permit Holders and Associated Persons and 15.1 – Maintenance, Retention and Furnishing of Books, Records and Other Information were in full force and effect.

4. The Exchange conducted an Associated Persons Sweep Examination of Scout Trading that reviewed Scout Trading's compliance with the Exchange's registration requirements. In addition, the Exchange conducted a sweep examination of Scout that reviewed its compliance with the requirement to maintain a minimum number of registered and qualified Proprietary Trader Principals in accordance with Exchange Rule 3.6A.

5. In accordance with Interpretation .07 to Rule 3.6A, individual associated persons and individual Trading Permit Holders acting in one or more of the following capacities: (i) officer; (ii) partner; (iii) director; (iv) supervisor of proprietary trading, market-making or brokerage activities; and/or (v) supervisor of those engaged in proprietary trading, market-making or brokerage activities with respect to those activities, must register and qualify as a Proprietary Trader Principal (TP) in WebCRD.[1] In addition, each Trading Permit Holder or TPH organization must have at least two Proprietary Trader Principals registered and qualified in WebCRD.[2] The deadline for compliance with these requirements was November 5, 2011.

6. Exchange Rule 3.6A provides, in relevant part, "each Trading Permit Holder and TPH organization that is a registered broker-dealer shall designate a Chief Compliance Officer on Schedule A of Form BD." [3]

7. Scout Trading failed to designate a Chief Compliance Officer on Schedule A of its Form BD.[4]

8. Scout Trading failed to register the minimum number of individuals required to register as a Proprietary Trader Principal (TP) in WebCRD by November 5, 2011.

FINDINGS

The acts, practices and conduct described in Paragraph 7 above constitute a violation of Exchange Rules 3.6A and 15.1 by Scout Trading, in that Scout Trading failed to designate a Chief Compliance Officer on Schedule A of its Form BD.

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1 See CBOE Regulatory Circulars RG11-077 and RG11-131.

2 The Exchange may waive this requirement if a Trading Permit Holder or TPH organization demonstrates conclusively that only one individual acting in one or more of the capacities described in (i) through (v) above should be required to register. In addition, a Trading Permit Holder or TPH organization that conducts proprietary trading only and has 25 or fewer registered persons is required to have a minimum of one officer or partner who is registered in this capacity rather than a minimum of two individuals registered in this capacity.

3 See Securities Exchange Act Release No. 63314 (November 12, 2010), 75 FR 70957 (November 19, 2010) (SR-CBOE-2010-084).

4 Scout Trading designated a Chief Compliance Officer on Form BD on October 13, 2011. SR-CBOE-2010-084 was approved on November 12, 2010.

The acts, practices and conduct described in Paragraph 8 above constitute a violation of Exchange Rule 3.6A by Scout Trading, in that Scout Trading failed to register the minimum number of individuals required to register as a Proprietary Trader Principal (TP) in WebCRD by November 5, 2011.

SANCTION

The sanction to be imposed shall consist of a $7,500 fine and a censure.[5]

ORDER

ACCORDINGLY IT IS ORDERED THAT, the Respondent, Scout Trading, LLC, shall be and hereby is censured and fined in the amount of seven thousand five hundred dollars ($7,500).

SO ORDERED
FOR THE COMMITTEE

Dated: July 3, 2013

By: /s/ Bruce Andrews
Bruce Andrews
Chairman
Business Conduct Committee

[5] Scout Trading updated its Written Supervisory Procedures related to registration and qualification and submitted them to the Exchange on May 14, 2013.